

PUBLIC VERSION-CONFIDENTIAL MATERIALS EXCLUDED

Before the

FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 25-01

20230930-DK-BUTTERFLY-1, INC. v. BAL CONTAINER LINE CO., LIMITED

**COMPLAINANT 20230930-DK-BUTTERFLY-1, INC.'S REPLY TO RESPONDENT
BAL CONTAINER LINE CO., LIMITED'S OPPOSITION BRIEF**

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Complainant hereby submits its Reply to Respondent's Opposition Brief, dated June 18, 2026 (Dkt. 67) (the "Opposition Brief").¹

REPLIES TO BAL'S PROPOSED FINDINGS OF FACT

BBBY's Proposed Findings of Fact ("FOF") (Dkt. 64), are incorporated by reference. Citations to BBBY's FOF are denoted by ("C ____"). BBBY's Responses to BAL's Proposed Findings of Fact ("CFOF"), filed contemporaneously herewith, are incorporated by reference. Citations to BBBY's CFOF are denoted by ("CR ____"). Citations to BAL's Proposed Findings of Fact (Dkt. 68) ("RPFF") are denoted by ("RPFF ____"). Citations to BAL's Responses to BBBY's FOF ("RFOF") (Dkt. 69) are referenced as ("R ____").

ARGUMENT

In its opposition, BAL refuses to meaningfully engage with the core issue in this case: whether it imposed detention and demurrage charges on BBBY in circumstances where containers could not be picked up or returned due to circumstances outside of BBBY's control, and where such charges therefore could not serve their lawful purpose of incentivizing cargo movement. Instead, BAL largely concedes the factual predicate for BBBY's claims (including widespread and unprecedented port congestion at the Ports of Los Angeles and Long Beach, container inaccessibility, appointment restrictions, and equipment shortages) while advancing legal and factual arguments that attempt to distract from the governing standard and the record evidence.

BAL's opposition fails for three principal reasons. *First*, BAL improperly relies on formalisms that have no bearing on the statutory inquiry at hand, arguing that its practices must be reasonable because they were set forth in a publicly filed tariff and were consistent with purported industry norms. However, the Shipping Act does not ask whether a charge is published or

¹ Unless otherwise specified, all defined terms herein take on the same meaning as in BBBY's Opening Brief, dated May 21, 2026 (Dkt. 63) (the "Opening Brief"). Citations to information in the record are contained in BBBY's Appendix ("App." or "APP- ____") or BAL's Appendix ("RX").

commonplace—it asks whether a carrier’s practices are “just and reasonable”. The Commission’s Interpretive Rule makes it clear that charges are unreasonable when they fail to function as incentives to promote freight fluidity. Thus, BAL’s formalistic defense misses the point.

Second, BAL turns a blind eye to the extensive factual record in this case, arguing that BBY failed to meet its burden of proof by not proving unreasonableness on a container-by-container basis. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] BAL then attempts to argue that the initial decision in *20230930-DK-Butterfly-1, Inc. v. Orient Overseas Container Line Ltd.*, FMC Dkt. No. 23-02, 2026 WL 1285696 (FMC CALJ Apr. 24, 2026) (the “*OOCL* Initial Decision”)—which ruled against BBY on its D&D claims against a different carrier—should lead to the same outcome here, despite the fact that BBY has entered substantial container-by-container evidence into the record that was not present in the *OOCL* record and the fact that there are other significant distinctions between the cases. BAL’s refusal to engage with this evidence does not render it nonexistent. Accordingly, under the Commission’s established burden-shifting framework it is BAL, not BBY, that fails to meet its burden of proof.

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Third, BAL tries to shift blame to BBY, arguing that BBY's own business decisions caused the D&D charges at issue. This argument fails as a matter of law and fact. The relevant inquiry is not whether BBY operated perfectly in an unprecedented pandemic logistics environment, but rather whether BAL imposed D&D charges that could lawfully incentivize cargo movement. The record shows that during the relevant period, containers could not be retrieved or returned due to factors outside of BBY's control, including delays, port closures, lack of appointments, dual transaction requirements, and equipment shortages (as tied to specific containers in BBY's container-by-container spreadsheet). BAL has failed to demonstrate that any internal optimization by BBY could have overcome these constraints—especially in light of the industry-wide effects of the congestion crisis, in which *every* shipper was motivated to move freight, but could not overcome the extrinsic constraints posed by the crisis.

BAL's additional arguments fare no better, such as its reliance on its flawed dispute-resolution process. The record shows that BAL employed a "charge first, dispute later" regime that systematically imposed D&D charges without regard to whether they were reasonable under the circumstances, placing the onus on shippers to later claw back improper fees through a burdensome process with opaque final decision-making—a flawed process that does not exempt BAL's practices from the requirements of the Shipping Act.

Looking past this assortment of distractions, BAL's defense distills to a simple position: that BAL's collection of millions of dollars of detention and demurrage charges should not be subject to any review for reasonability, regardless of whether BBY had the ability to move the containers, or whether the charges fairly incentivized freight fluidity. The Shipping Act and the Commission's rules reject this argument. Because BAL's practices contravened the Incentive

Principle and resulted in unjust and unreasonable charges against BBY, the Commission should find in BBY's favor and award the requested relief.

I. Count I: BAL's Policy of Imposing Unreasonable Detention and Demurrage Charges Violates 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.5

A. Count I, Element 1: BAL was an ocean common carrier during the relevant time period.

This element is not in dispute. BAL admits that it operated as an ocean common carrier during the relevant period. *See* RPFF 4; R11. Accordingly, this element is satisfied.

B. Count I, Element 2: BAL's policies and practices of imposing unreasonable detention and demurrage charges occurred on a normal, customary, and continuous basis.

BAL attempts to dispute this element in form but not in substance. It cannot dispute that the challenged D&D charges: (1) were assessed over multiple months, (2) applied across hundreds of containers, and (3) resulted in millions of dollars in charges. *See, e.g.*, APP-67-86; RPFF 73, 74, 107. These undisputed facts establish that BAL's D&D practices were systematic and continuous, not isolated. Accordingly, this element is satisfied.

C. Count I, Element 3: BAL's policies and practices of assessing unreasonable detention and demurrage charges related to and were connected with receiving, handling, storing, or delivering property.

BAL does not meaningfully contest this element. The D&D charges at issue arise directly from container pickup, container storage at terminals, and the return of empty containers. These are paradigmatic activities tied to the receiving, handling, storing, and delivering of BBY's property. BAL does not dispute that it charged D&D for its carriage of BBY cargo. *See, e.g.*, RFPP 74-96, 107. Accordingly, this element is satisfied.

D. Count I, Element 4: BAL's policies and practices of assessing unreasonable detention and demurrage charges against BBY were unjust or unreasonable.

1. BAL mischaracterizes the governing legal standard.

BAL argues that the Commission's Interpretive Rule does not impose a categorical prohibition on detention and demurrage charges. Opp. Br. at 17. This assertion is a strawman. BBY has never argued that detention and demurrage charges are categorically prohibited. Rather, BBY's claim is that BAL's practices, both in the magnitude and frequency of charges imposed, were unreasonable under 46 U.S.C. Section 41102(c) of the Shipping Act, because they were excessive and did not comply with the Incentive Principle. *See* 46 C.F.R. § 545.5(c)(1). Accordingly, the relevant inquiry is whether the D&D charges at issue "serv[e] their intended primary purposes as financial incentives to promote freight fluidity." *Id.* Charges imposed when containers cannot be retrieved or returned cannot serve that purpose. Accordingly, BAL's invocation of a non-existent "categorical prohibition" argument simply avoids the dispositive question: whether its actual practices satisfied the Incentive Principle in the circumstances presented here. The record demonstrates that they did not.

2. BAL's tariff and industry rates defense is legally irrelevant.

i. A publicly filed tariff is not a safe harbor.

BAL repeatedly asserts that its D&D charges were reasonable because they were publicly filed in its tariff. *See* Opp. Br. at 16; RPF 88-91. BAL does not cite any precedent linking public filing with reasonableness and this argument fails as a matter of law. Nothing in 46 U.S.C. Section 41102(c) or 46 C.F.R. Section 545.5 provides that publication equals reasonableness. The statute regulates a carrier's practices, and the Commission evaluates the reasonableness of those practices under the Incentive Principle rather than simply based on whether they publicly appeared in a tariff. *See TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp.*, FMC Dkt. No. 1966(I), 2025 WL 516256, at *4 (FMC Feb. 13, 2025) ("*TCW IP*") (Order on Remand) ("The Interpretative Rule

states that the Commission will apply the ‘incentive principle’ to consider whether the charges are serving their ‘primary purposes as financial incentives to promote freight fluidity.’”).

ii. Industry norms do not establish reasonableness.

BAL also contends that its rates were in line with, or below, those of other carriers. *See* RPFF 102-104. This is an argument equally unavailing as a proxy for reasonableness. As the record reflects, the industry-wide imposition of high detention and demurrage rates during the pandemic, including at times when freight fluidity could not be incentivized through additional charges, was itself unreasonable. *See* CR103; C40, 85-87. Importantly, BBY’s experience with BAL shows that BAL’s charges were disproportionately high. *See* C53, C57, C82-4. The relevant metrics are not merely per diem levels but also total D&D incidence, charges per load, and the relationship between charges and actual container movement. By these metrics, BAL’s D&D charges were unreasonable. *See* C50-57.

iii. The FMC’s authority to assess reasonableness of practices is undisputed.

BAL further argues that the FMC lacks authority to regulate tariff rates. *See* Opp. Br. at 8; RPFF 105. This argument is irrelevant as BBY does not seek rate regulation. Rather, BBY challenges the application of those rates in circumstances where they cannot lawfully be imposed. The Commission’s authority to assess the *reasonableness* of such practices under 46 U.S.C. Section 41102(c) is settled. *See, e.g., Evergreen Shipping Agency (Am.) Corp. v. Fed. Mar. Comm’n*, 106 F.4th 1113, 1115 (D.C. Cir. 2024) (“*Evergreen*”) (“The Shipping Act leaves to the Commission the determination whether a detention charge is ‘just and reasonable.’”).

3. BAL’s “charge first, fix later” practice violates the Incentive Principle.

As the record shows, BAL had a documented policy of charging first and putting the burden on shippers to subsequently marshal documentation to contest historic charges. [REDACTED]

[REDACTED] BAL claims that because

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Norton Lilly initially invoiced [REDACTED] in detention charges to BBY, but BBY ultimately paid \$3,673,583, the difference of over \$4.2 million in detention charges was ultimately “canceled, mitigated, or waived.” *See* RPF 73-76; Opp. Br. at 20-21.² BAL relies on inference to suggest reasonableness while providing *no* record evidence explaining why these charges were initially assessed or how the adjustments were determined, citing only to a single page of its expert’s report. *See* RPF 73-76; CR73-76. Surely if BAL had “strong evidence that BAL reviewed detention charges in practice and made adjustments when the circumstances warranted it” for BBY (Opp. Br. at 21), it would have included such evidence in the record. Instead, BAL has provided *no* evidence in the record: (1) explaining the difference in these amounts; (2) specifically identifying the cancellations, mitigations, and waivers it vaguely alleges; or (3) even contextualizing the underlying Norton Lilly record that it references. To the contrary, BAL simply cites to a spreadsheet with no context in the record (and without even a heading, label, or date) (*see* Opp. Br. at 20-21 (citing RPF 74, which cites to RX-660-666); RX-660). [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] RX-660-666. BAL also cites to an incorrect statement in its expert Gary Kardian’s report, in which he claims that *BBY* initially alleged the \$7,915,690 in detention charges cited by Norton Lilly—but Kardian provides no citation for this false claim, because BBY has never made this allegation. *See* RPF 74-75 (citing RX-63); RX-63. Kardian himself testified that his conclusions about the Norton Lilly spreadsheet were speculative. APP-696 (Kardian Dep. Tr. 159:17-160:19) (“So the — the spreadsheets that were given, I guess initially by Norton Lilly in terms of what the charges were,

² While BAL characterizes this as evidence of a reasonable adjustment process, it is instead evidence—even if one were to accept BAL’s inference—that BAL was systematically overcharging customers on the front end, here, to the extent of \$4.2 million in overcharged detention, or over half of the detention initially invoiced on BAL’s behalf. *See* RPF 75-76.

and I looked at them . . . the last spreadsheet showed more or less the — the amount of charges that were billed versus the amount that were collected. . . . there’s nothing in the spreadsheets that give me anything concrete as to waive or mitigation, cancellation. So I’m sure there were correspondence between the parties, which would be voluminous.”). BAL has accordingly submitted no reliable evidence supporting its inference that BAL engaged in a fair adjustment process as to these charges.

4. Related data issues further undermine BAL’s position.

BAL’s attempts to reduce the demurrage totals or complain about “duplicate entries” suffer from the safe defect, as BAL relies on unfounded inferences that are not supported by the record. *See* RPF 107-108. First, BAL cites only Parker Zhu’s deposition transcript as evidence for its argument that BAL collected “approximately” \$4.29 million in demurrage fees from BBY due to the subtraction of “storage charges and maintenance fees”, rather than the \$6,021,609 in demurrage fees documented in the data entered into the record. *See* RPF 107. BAL does not cite to these modification calculations, provides no evidence for which specific containers these “storage charges and maintenance fees” applied to, and does not even provide record evidence as to what these alleged charges and fees constituted. *See id.* Accordingly, BAL’s assertions are unsupported by cited record evidence *and* inconsistent with the detailed container-level charge data produced in this case. *See* CR107; C50-52, 120, 123. Importantly, BBY’s damages reflect the demurrage amounts actually paid to BAL: \$6,021,609. *See* C50, 52; APP-40-41; APP-67-82 (McCown Expert Report Appendix B). This is the legally relevant measure.

Similarly, BAL cites only Parker Zhu’s deposition transcript as evidence for its argument that BBY’s D&D damages charts (*see* APP-67-86) contained duplicates that required removal before an accurate total could be calculated. RPF 108. Again, BAL fails to identify *any* such alleged duplicates or make any specific showing concerning what it believes the total should be.

Id. BAL has again failed to provide evidence and mischaracterized the record. The record shows that there are 66 containers listed in BBY's spreadsheet tied to more than one Bill of Lading (with zero containers associated with more than one Master Bill of Lading). CR108. There are 107 containers that have more than one charge entry in BBY's spreadsheet. *Id.* (listing the containers at issue). These are not duplicate entries, as BAL contends, but rather single containers that incurred *multiple* separate D&D charges from BAL. *Id.* Accordingly, these containers serve to underscore the extent to which BAL's D&D charges were significant both in amount and incidence.

5. BAL's dispute resolution process was structurally unreasonable and not a legally required predicate for BBY's Shipping Act claims.

In its attempt to shift blame to BBY, BAL argues that BBY failed to engage in BAL's dispute resolution process. *See* Opp. Br. at 25; RPFF 38, 39. However, BAL emphasizes that it had no direct relationship with BBY and dealt only with intermediaries. RPFF 33-36. Because BAL had *no* direct communication with BBY and exclusively directed invoices and adjustments through third parties, then its claim that BBY failed to adequately utilize BAL's internal dispute resolution process rings hollow. BAL's own arguments regarding its lack of direct relationship with BBY demonstrate that the structure of BAL's operations itself limited any meaningful opportunity for BBY to engage.

Beyond this structural issue, BAL's process was unreasonable on its face. As identified above, its dispute resolution process operated as a charge first, dispute later system, which required customers to prove entitlement to relief after the fact. *See* CR23; C79-80, 106. This process was further characterized by opaque decision-making, subjective determinations, and a lack of clear standards, even among BAL's own personnel. *See* CR31; APP-1057 (Liu Corp. Dep. Tr. 44:6-15); APP-1181 (Sun Corp. Dep. Tr. 18:14-19:10); APP-1207 (Sun Dep. Tr. 58:2-15). BAL's corporate

designees were unable to articulate objective, consistent criteria governing final decision-making, reinforcing that the processes were not ultimately anchored to the Incentive Principle. *See* CR31; APP-1057 (Liu Corp. Dep. Tr. 44:6-25); APP-1181 (Sun Corp. Dep. Tr. 18:14-19:10).

Troublingly, as part of its argument regarding BBY not utilizing BAL's dispute resolution process, BAL references the substance of settlement communications between the parties. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] The issue before the Commission is the established record, not post hoc characterizations of settlement exchanges.

Most importantly, with regard to BAL's dispute resolution process, nothing in 46 U.S.C. Section 41102(c) requires a complainant to invoke a carrier's internal dispute process or satisfy any exhaustion requirement before bringing a claim under the Shipping Act.

6. BBY has met its burden of proof and BAL mischaracterizes the record.

BAL also argues that BBY has failed to meet its burden of proof. *See* Opp. Br. at 14-15. To start, BAL does not dispute the extensive port congestion issues and delays in the record. Accordingly, the core question is whether BBY tied those undisputed conditions outside of its control to specific containers for which D&D was charged. BBY has done so at length, despite BAL's refusal to meaningfully engage with the record.

BAL ignores [REDACTED]

[REDACTED]

[REDACTED]

BAL's assertion that "BBBY's spreadsheet does not contain any definitive, container-specific explanation" is demonstrably false. RPPF 80. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

Relatedly, [REDACTED]

[REDACTED]

[REDACTED], BAL makes a blanket counterargument that closure dates were removed. RPFF 15. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] The only support BAL cites for its argument that free time was extended when the terminal was closed is not found anywhere in the factual record—rather, BAL cites to two pages of its expert’s report rather than any documentation of such extensions. RPFF 15. In turn, that portion of BAL’s expert’s report has *no* citation, and instead vaguely refers to documents without specifically citing them or providing them. RX-36-37. BAL falsely accuses BBY of not providing container-specific data yet simultaneously attempts to refute BBY’s showing without citing to any container-level analysis of closure dates. BAL accordingly has failed

to refute BBY's container-by-container analysis demonstrating BAL imposed unreasonable charges.

7. BAL's reliance on the *OOCL* Initial Decision is misplaced.

i. The extensive container-by-container evidence in this record materially distinguishes it from the *OOCL* record.

BAL's reliance on the *OOCL* Initial Decision is misplaced. As a threshold matter, the *OOCL* Initial Decision, which is currently under review on exceptions, is not yet binding. Initial decisions of ALJs are subject to review by the full Commission and do not constitute final agency action unless and until the Commission affirms, modifies, or adopts them. *See* 46 C.F.R. §§ 502.227, 502.228. The *OOCL* matter remains pending, and the Initial Decision has not been adopted as Commission precedent. BAL therefore asks this tribunal to treat a non-final, non-binding ALJ ruling in a separate proceeding as if it were controlling authority. The Commission is free to reach a different conclusion on an independent and distinct factual and legal record, and the record here warrants doing so.

Beyond this threshold issue, the *OOCL* Initial Decision arose on a materially different record that lacked the extensive container-by-container evidence BBY has entered into the record here. BAL relies on the *OOCL* Initial Decision's finding that BBY should have demonstrated the unreasonableness of D&D charges on a "shipment-by-shipment, date-by-date, charge-by-charge basis," but that BBY "did not provide a shipment-by-shipment analysis of the reason containers accrued detention and demurrage charges". *See OOCL* Initial Decision, 2026 WL 1285696, at *127, *134; Opp. Br. at 9. However, as detailed above, BAL's argument that BBY failed to provide container-specific evidence is a blatant misrepresentation of the record. [REDACTED]

[REDACTED]

[REDACTED]

CR78. There was no comparable spreadsheet or container-by-container analysis in the *OOCL* case's record,³ thus the two cases are facially not comparable. *Cf. OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, FMC Dkt. No. 21-11, 2024 WL 4034610, at *21-23 (FMC Aug. 27, 2024) (approving damages calculation on basis of detailed spreadsheet submitted by the complainant reflecting actual shipments).

More specifically, the *OOCL* Initial Decision's central criticism of BBY's D&D claim was that BBY "did not provide a shipment-by-shipment analysis of the reason containers accrued detention and demurrage charges" and relied instead on "vague, generalized, and anecdotal claims of congestion or equipment shortages." *See OOCL* Initial Decision, 2026 WL 1285696, at *134. In turn, BAL urges this tribunal to make the same finding. The record in this proceeding defeats that argument. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

³ Notably, however, in its Exceptions to the *OOCL* Initial Decision, BBY has requested that the Commission remand for further submissions on D&D, including the submission of a detailed container-by-container analysis akin to the analysis BBY submitted in this matter. Compl.'s Exceptions to the Initial Dec. at 22-23, 20230930-DK-Butterfly-1, *Inc. v. Orient Overseas Container Line Limited*, FMC Dkt. No. 23-02 (June 23, 2026) (Dkt. 154).

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

This sampling, along with the sampling in BBY's Responses to BAL's Proposed Findings of Fact (*see* CR78), demonstrates that BBY's record here is far more robust than the showing found to be insufficient in the *OOCL* Initial Decision. [REDACTED]

[REDACTED]

[REDACTED] And for the remaining containers, the statistical evidence of systemic unreasonableness remains: BBY's D&D to revenue ratio with BAL was 41 times the industry norm, and its per-TEU D&D was *199 times* the industry norm. C65. That disparity, combined with the extensive documented container-

specific evidence and the independent framework supplied by *TCW II*, establishes BBY's claim on this record.

ii. BAL's narrow invocation of the *OOCL* Initial Decision ignores the full legal standard.

BAL misreads what the *OOCL* Initial Decision held and what the Commission's own precedent requires. BAL relies on the Initial Decision's statement that BBY needed to provide a "shipment-by-shipment, date-by-date, charge-by-charge" analysis to establish unreasonableness. *See OOCL* Initial Decision, 2026 WL 1285696, at *127; Opp. Br. at 9. But that framing, taken in isolation, does not accurately reflect the legal standard that both *Evergreen* and *TCW II* establish. The *OOCL* decision applied a legal framework drawn from the U.S. Court of Appeals for the D.C. Circuit's 2024 decision in *Evergreen*, 106 F.4th 1113, and the Commission's decision on remand in *TCW II*, 2025 WL 516256. Properly applying the full scope of this precedent to the facts here further compels a different result.

The D.C. Circuit held in *Evergreen* that there are no "bright line" rules for determining whether D&D charges are just or reasonable, and that the Commission must engage in a "circumstantial, fact-bound inquiry." *Evergreen*, 106 F.4th at 1115, 1118. The Commission on remand confirmed that reasonableness is assessed by "balancing how a particular charge fits within the incentive principle to further the primary purpose of promoting freight fluidity alongside other arguments and extenuating circumstances raised by the parties to determine if they are relevant to assessing reasonableness and if so, whether they outweigh the finding under the incentive principle." *TCW II*, 2025 WL 516256, at *4.

The Commission was explicit that this inquiry is open-ended: "The Interpretive Rule also states that '[n]othing in this rule precludes the Commission from considering factors, arguments, and evidence in addition to those specifically listed in this rule.' 46 C.F.R. § 545.5(f)." *Id.* And

when *TCW II* stated that each case is “decided on its own facts,” it referred to the complete factual record in a given proceeding—not a bright-line requirement that a complainant prove, charge by charge and day by day, the specific cause of each and every container’s delay. *Id.* at *7 (quoting Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 Fed. Reg. 29638, 29642 (May 18, 2020)) (the “Interpretive Rule”).

Commission precedent confirms this reading. In *Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC-Possible Violations of 46 U.S.C. § 41102(c)*, the ALJ found a 46 U.S.C. Section 41102(c) violation even though the complainant “did not establish a violation for all eleven shipments or for all days of detention.” FMC Dkt. No. 21-09, 2022 WL 3093193, at *38 (FMC ALJ Apr. 22, 2022). That case stands for the proposition that day-by-day, container-by-container proof of each specific charge is not a prerequisite to a 46 U.S.C. Section 41102(c) finding, though it can be an important part of that finding. The totality of the evidence determines whether charges were unreasonable. BAL’s attempt to use the *OOCL* Initial Decision to impose the kind of bright-line proof structure that *Evergreen* discourages should be rejected.

What the governing framework does require is evidence sufficient to establish, on the whole of the circumstances, that BAL’s D&D charging practices were not serving the incentive principle’s goal of promoting freight fluidity, and were not justified by BAL’s compensatory costs. As *TCW II* makes clear, the “goal of the incentive principle is to ensure that reasonable detention charges ‘promote freight fluidity,’ a concept that is broader than simply the quickest equipment return and which requires balancing competing incentives.” 2025 WL 516256, at *5 (citing 46 C.F.R. § 545.5(c)(1)). BBY’s evidence satisfies that standard many times over.

The *OOCL* Initial Decision analyzed the reasonableness of D&D charges under the framework of the FMC’s Interpretive Rule, which asks whether charges serve the dual purpose of

compensating carriers for the costs of equipment tied up beyond free time and incentivizing the timely return and pickup of containers. The *OOCL* Initial Decision found that BBY had not demonstrated that those charges failed to serve those purposes as applied to *OOCL*. The record here tells a different story for *BAL*, one addressed by the Commission's recent decision in *TCW II*.

The framework developed in *Evergreen* and *TCW II* requires that D&D charges compensate the carrier for costs incurred after free time expires and incentivize timely container return and pickup. *TCW II*, 2025 WL 516256, at *10 (“historically any compensatory function of [D&D] charges was intended to reimburse ocean carriers only for additional costs incurred after free time expired”) (citing Interpretive Rule, 85 Fed. Reg. at 29651). *BAL* does not meet either element here. With regard to compensation, *BAL*'s vessels were operating at 100% capacity throughout the relevant period. *See C72*, 42. When a carrier's ship is running full, there is no opportunity cost associated with a container remaining at port or in a shipper's yard; there is no space on any outbound vessel to reload a returned container, and no lost revenue attributable to equipment delay. *See C73-77*. The compensation rationale for *BAL*'s charges therefore collapses: *BAL* was already earning maximum freight revenue and could not have derived additional value by charging D&D for faster container return.

With regard to incentivization, the historic congestion conditions are documented throughout this record. Closed terminal areas, mandatory dual-transaction requirements, persistent appointment unavailability, regionwide chassis shortages, freight and customs holds beyond BBY's control made it impossible for BBY to retrieve or return containers faster regardless of the financial pressure being applied. BBY's warehouse manager Melinda Porter described operations during this period as “survival mode,” with BBY doing everything possible to move

containers and ship product out. *See* C109; R108-111. BBY brought in additional dray carriers, engaged a logistics broker to source chassis, implemented EDRAI for container tracking, and organized weekly calls with carriers, distribution centers, and drayage partners. *See* C109.1-109.4.

In this respect, the analysis here tracks *TCW II*. Just as the COVID closure of a third-party facility in that case rendered D&D charges both non-compensatory and non-incentivizing, the combination of BAL's own 100% vessel utilization and the documented extrinsic barriers to container movement here renders BAL's charges unreasonable under both prongs of the applicable framework. Additionally, the record shows that BAL imposed D&D charges on BBY at times when the terminal was closed. *See* C78-78.1. The *OOCL* Initial Decision did not address this dual-failure scenario.

iii. The record distinguishes BAL's practices from OOCL's practices.

Additionally, the conduct-specific findings in that case do not map onto BAL's practices. The *OOCL* Initial Decision credited OOCL's dispute resolution processes and found no systemic problems with how OOCL administered its D&D charges. *OOCL* Initial Decision, 2026 WL 1285696, at *133-34. The record here discloses a different picture of BAL. *First*, as detailed above, BAL's billing structure was designed in a way that structurally excluded BBY from the dispute process. Detention invoices were issued by Norton Lilly exclusively to trucking companies and were not reviewed by BAL. *See* C20.1; R20.1. Norton Lilly had no independent authority to adjust or waive charges. *See* C20-20.1; R21.1. All adjustments required escalation to BAL, and special detention refunds or waivers above standard thresholds required approval from Cinda Li, the wife of the owner of BAL, as Senior Vice President. *See* C17; R17. A dispute resolution system that (a) sends invoices only to trucking companies, (b) gives the billing agent no authority to act, and (c) routes all meaningful relief through a single executive at the carrier's headquarters with no

objective criteria for final decisions is not comparable to the dispute resolution system in *OOCL*. Accordingly, the *OOCL* record contains no comparable findings about structural inaccessibility of the dispute process.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

See R67 (citing [APP-1280, Ye Dep. Tr. 64:20-65:9]); [REDACTED]

[REDACTED] This confirms what the external numbers demonstrate: BAL's D&D regime operated as a revenue center, not as a mechanism for promoting container fluidity.

Third, BAL itself challenged the very type of congestion charges it was simultaneously imposing on BBY. During the same period that BAL assessed D&D charges against BBY citing port congestion, BAL filed its own complaint against SSA Marine Terminal challenging congestion-related surcharges as "unjust and unreasonable" on the ground that they "do not serve to address the issue of congestion" and "imposed a burden on BAL Container Line." C98. BAL cannot plausibly maintain that congestion-related charges are unreasonable when assessed against it while simultaneously maintaining that the same charges are perfectly reasonable when assessed by it against BBY.

Lastly, the *OOCL* Initial Decision ruled against BBY in a case involving Orient Overseas Container Line, which is one of the world's largest established ocean carriers, operating vessels of standard transpacific scale with decades of operational experience, unlike BAL during its brief period as a VOCC. BAL entered the vessel-operating common carrier segment in 2021 because

pandemic-era spot rates made a short-term profit opportunity available, transitioning from its prior role as an NVOCC with no vessel operations experience. *See* R13-15; C13-15. BAL operated chartered ships averaging roughly one-sixth the typical transpacific vessel size. *See* C16. Its container fluidity was, by the assessment of BBY's expert, "well below industry norms." *See* C15. Its average transpacific voyage time was 59 days, which was more than twice the industry average, and its service was "extraordinarily erratic." C56. BAL exited the VOCC segment entirely once pandemic-era profits dissipated. C44.

The sum of these distinctions is relevant to the 46 U.S.C. Section 41102(c) reasonableness inquiry. The question is whether BAL's D&D practices were just and reasonable. That question must be evaluated against BAL's own conduct, BAL's own rates, and BAL's own operational performance. As BBY's expert John McCown documented, BBY's D&D incidence with BAL was 41 times the overall industry average measured as a percentage of revenue, and 199 times the industry average measured on a per-TEU basis. C57. These are disparities that establish systemic unreasonableness in tandem with the charge-by-charge and container-by-container analyses in the record here.

In contrast to the *OOCL* Initial Decision which related to a major, established carrier, this record establishes unreasonable conduct by a startup VOCC operating far outside industry norms, and D&D charges that served neither the compensatory nor the incentive principle as defined by the Commission's own precedent. Of course, all of this is complemented by extensive container-by-container evidence in the record.

8. The record demonstrates that BAL, not BBY, has failed to meet its burden of proof.

The Commission has established a burden-shifting framework, recently affirmed by the Commission in *TCW II*: once a complainant has established a prima facie case that a challenged

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practice is unjust or unreasonable, the burden then shifts to the respondent to justify its conduct with evidence and argument. *See TCW II*, 2025 WL 516256, at *7 (“Where a party having the burden of proceeding has come forward with a prima facie and substantial case, he will prevail unless his evidence is discredited or rebutted”) (cleaned up) (citing *Steadman v. SEC*, 450 U.S. 91, 101 (1981)); *see also New Orleans Steamship Ass’n v. Plaquemines Port, Harbor & Terminal Dist.*, FMC Dkt. No. 83- 2, 1985 WL 148970, at *20-22 (FMC ALJ Dec. 30, 1985) (finding the complainant made a prima facie case of unreasonableness under Section 17 of the Shipping Act, subsequently recodified as 46 U.S.C. Section 41102(c), and “the respondent ha[d] the burden to and must actually justify the exemptions, however reasonable one might otherwise assume them to be”, which it failed to meet); *Petchem, Inc. v. Canaveral Port Auth.*, FMC Dkt. No. 84-28, 1986 WL 170038, at *13 (FMC Mar. 28, 1986), *petition for rev. denied*, 853 F.2d 958 (D.C. Cir. 1988) (respondents’ inability to justify its practices resulted in findings against it); *Ceres Marine Terminal, Inc. v. Maryland Port Administration*, FMC Dkt. No. 94-01, 1997 WL 35281266, at *38-39 (FMC Oct. 10, 1997) (finding Ceres met its prima facie burden of proving respondent’s practice was unreasonable and that respondent failed to show that the practice was justified); *Exclusive Tug Arrangements in Port Canaveral, Fla.*, FMC Dkt. No. 02-03, 2003 WL 1017732, at *31 (FMC ALJ Mar. 4, 2003) (“BOE has the burden of persuading the Commission that CPA’s practice of perpetuating [the] exclusive tug franchise was unreasonable. If BOE succeeds in that regard, the burden of proving justification for the exclusive system shifts to CPA”). In *TCW II*, the Commission, applying this framework, found that the complainant had established a prima facie case for unreasonableness and held that that “[n]one of Respondent’s justifications, either individually or collectively, are sufficient to establish that Respondent’s charges were reasonable”. 2025 WL 516256, at *7.

Here, BBY has relied on an extensive factual record to establish a prima facie case of unreasonableness in BAL's imposition of D&D charges. With the burden then shifted to BAL to justify that its charges were reasonable, BAL has repeatedly either failed or simply refused to do so. For example:

- As discussed above (*supra* § I(D)(v)) BBY has provided extensive container-by-container evidence providing container-specific documentation for delays that led to D&D charges from BAL, [REDACTED]

[REDACTED] In response, BAL made the extraordinary claim that BBY had provided *no* container-specific evidence (*see* Opp. Br. at 6, RPFF 80) and then handpicked only *three* containers out of hundreds in support of its assertion (*see* RPFF 81-87). BAL has plainly failed to meet its own burden of proof in response to extensive record evidence.

- [REDACTED] In response, BAL made the vague statement that documents produced by a third-party showed that D&D was not charged during port closures, *without* citing to those documents or to any document in the record. *See* RPFF 15.
- In response to charge-by-charge evidence in the record showing that BBY paid \$3,673,583 in detention charges to BAL (*see supra* § I(D)(iii)), BAL in turn attempted to argue that because an unlabeled document produced by Norton Lilly showed [REDACTED] in initial detention invoicing, the difference in detention charges must have reflected proactive mitigation, waivers, or cancellation by BAL (*see* RPFF 73-76 (citing RX-660-666); Opp. Br. at 20-21). Rather than providing *any* evidence of such mitigation, waivers, or cancellation—or even citing to basic context in the record for the unlabeled Norton Lilly spreadsheet and how such charges were calculated—BAL instead relied on this vague inference and a citation to its expert's opinion, which both contained an inaccurate statement regarding BBY's allegations (*see* RPFF 74-75 (citing RX-63)) and which he admitted in his deposition was based on pure speculation (APP-696 (Kardian Dep. Tr. 159:17-160:19)).

- In response to BBY citing to container-by-container data in the record that it paid \$6,021,609 in demurrage fees to BAL (*see supra* § I(D)(iii)(1)), BAL countered that its employee Parker Zhu calculated that BAL actually collected “approximately” \$4.29 million in demurrage fees from BBY due to the subtraction of “storage charges and maintenance fees” (*see* RPF 107). Inexplicably, instead of providing any container-by-container evidence regarding these alleged approximated calculations, or in fact *any* documentation of these calculations or what these “storage charges and maintenance fees” consisted of, BAL simply cites to a few lines of Zhu’s deposition testimony. *See id.*
- Similarly, in response to BBY’s record evidence showing D&D charges on a container-by-container basis (*supra* § I(D)(v)) (*see* APP-67-86; C107, Ex. A), BAL alleges that Parker Zhu identified duplicates in the record, requiring a recalculation (*see* RPF 108). Instead of identifying these alleged duplicates and providing a calculation of its proposed adjustments, BAL simply cited to a small portion of Zhu’s deposition testimony and otherwise cited to no record evidence. *See id.* In response, BBY specifically identified every container that appeared multiple times in the record, demonstrating that the multiple appearances reflected multiple separate charges for individual containers and containers being tied to multiple house bills of lading rather than duplicate entries. *See* CR108.

9. BBY’s expert testimony supports, rather than replaces, the liability showing.

BAL also argues that John McCown’s expert testimony does not independently establish unreasonableness.⁴ *See* Opp. Br. at 22. Specifically, BAL attacks McCown’s analysis as insufficiently container specific. *See* RPF 119-127. However, McCown’s analysis contextualizes the scale and nature of BAL’s D&D charges and reinforces that they were wholly inconsistent with any rational incentive structure. *See, e.g.,* C40, 49-57. McCown’s analysis specifically demonstrates that BAL’s charges were economically disproportionate, untethered to costs, and inconsistent with any plausible incentive function. *See* C53, 87, 101-102. That evidence is corroborative, not dispositive. The violation arises from BAL’s practice of imposing charges despite the impossibility of container movement, which is independently established in the record.

⁴ Given BAL’s reliance on the *OOCL* Initial Decision, it is noteworthy that *OOCL*’s request to strike Mr. McCown’s expert report was denied, and the *OOCL* Initial Decision stated, “BBY expert John McCown is a Non-Resident Senior Fellow at the Center for Maritime Strategy with over four decades of operating and investment experience in the container shipping industry and an MBA from Harvard Business School, who publishes a monthly report analyzing U.S. container volume and a quarterly report analyzing the actual results of the container shipping industry. . . . Mr. McCown’s education and work experience qualify him to provide expert testimony.” *OOCL* Initial Decision, 2026 WL 1285696, at *11.

See C32, 33.3, 35, 107, Ex. A). BAL's reliance on Kardian and Vogt—despite their significant credibility issues, especially for Vogt (*see* R130-141)—do not cure this defect in BAL's argument, as their opinions bypass the core statutory inquiry: whether BAL's charges served any incentivizing purpose as applied. Notably, Vogt admitted that he did not even know what the Incentive Principle was. C131.

McCown's expert testimony thus complements, and does not substitute for, the direct evidence of unreasonableness submitted by BBY, including in the extensive container-by-container evidence provided by BBY. C107, Ex. A. Accordingly, BAL's critique of McCown's expert testimony—in place of its own provision of a quantitative analysis demonstrating that BAL's D&D rates as compared to its opportunity and carrying costs were indeed proportionate and reasonable—is misplaced.

E. Count I, Element 5: BAL's policies and practices of assessing unreasonable detention and demurrage charges against BBY are the proximate cause of BBY's claimed losses.

BAL argues that BBY's own business decisions, rather than BAL's charging practices, caused the detention and demurrage charges at issue. *See* Opp. Br. at 23-29. Again, this argument fails both legally and factually. The record establishes a direct and straightforward causal connection between BAL's unjust and unreasonable charging practices and the millions of dollars in losses that BBY incurred.

BAL attempts to reframe the causation inquiry as a comparative fault analysis of BBY's operational decisions: its import volumes, warehouse capacity, and supply chain design. This is not the test under the Shipping Act. Rather, the inquiry under 46 U.S.C. Section 41102(c) is whether BAL's unjust and unreasonable practices were a proximate cause of the damages claimed. Accordingly, where a carrier imposes D&D charges in circumstances where those charges cannot serve their required incentivizing function, the resulting charges that a shipper is required to pay

are attributed to the carrier's unlawful practice. Accordingly, it is well-established that the Commission has held that payment of detention and demurrage charges is sufficient to establish proximate cause and injury. *See, e.g., Hapag-Lloyd, A.G.*, 2022 WL 3093193, at *34; *A Customs Brokerage, Inc. v. Cargocare Logistics USA, Inc. et un.*, FMC Dkt. No. 1987(I), 2023 WL 11645622, at *13 (FMC July 17, 2023). In other words, even if multiple factors contributed to a container's delay, BAL's decision to impose charges despite impossibility or lack of incentive effect is independently sufficient to establish causation.

The causal chain in this case is direct: (1) BAL imposed detention and demurrage charges on BBY for carriage of BBY containers, (2) BAL imposed these D&D charges unreasonably, and (3) BBY paid those charges. *See* C69; *see also* RPFF 106. These facts in the record establish proximate cause. Once BAL assessed charges that were not lawfully due under the incentive principle, the resulting financial obligation and payments made by BBY flowed directly from that unlawful practice. BAL cannot break that causal chain by pointing to background conditions that made container movement difficult or impossible. Those conditions are precisely what rendered the charges unreasonable in the first place.

Nevertheless, the record demonstrates that external, systemic constraints were the dominant factors preventing container movement, rather than BBY's internal operations. *See* C32, 33.3, 35, 107, Ex. A. These constraints included severe port congestion (C26-33), widespread appointment unavailability (C37.1); equipment and chassis shortages (C33.7); terminal closures and restricted operations (C78, 78.1); and dual-transaction and "no empty in" requirements (C34). BAL's own witnesses acknowledged these conditions. *See* C91-95; RPFF 22. These were not isolated or container-specific anomalies; they were pervasive, system-wide barriers that applied across the relevant ports and time periods. Where such conditions prevented container pickup or

return, detention and demurrage charges could not function as incentives—and thus should not have been imposed.

BAL devotes substantial attention to criticizing BBBY's operations, asserting that BBBY increased import volumes, its warehouses were full, it failed to invest in chassis or infrastructure, and internal bottlenecks contributed to delays. *See* RPFF 43-59, 62-72. Although specific operational decisions by BBBY could hypothetically be relevant to the reasonableness of imposing certain charges (e.g., if the evidence shows that BBBY could have moved a specific container but chose not to), BBBY's operational issues are not relevant to proximate causation, which asks only if, *once unreasonableness is established*, the unreasonable conduct caused an injury. The existence of internal constraints does not permit a carrier to impose unreasonable charges, including charges during periods when containers could not be moved for independent, external reasons. BAL's argument would create a rule under which a carrier may impose detention and demurrage whenever a shipper is not operating optimally—even if external conditions make compliance impossible. That is not the law.

Moreover, the testimony BAL cites demonstrates the opposite of what it claims. BBBY witnesses consistently described an environment in which operations were “bottlenecked” by external conditions; container flow was disrupted by port congestion; and normal processes “couldn't work” due to factors outside BBBY's control. *See* RPFF 48-53. These admissions reinforce BBBY's position: the delays cited by BAL arose from systemic supply chain breakdowns, not discrete business decisions. Even if BAL can point to a few instances in which a “more perfect” operational decision by BBBY could, in hindsight, hypothetically have avoided or reduced a charge, BAL fails to address the critical point: many of the challenged charges were incurred during periods when container movement was not possible at all. For those periods—

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when: terminals were closed, appointments unavailable, or empty returns barred—no action by BBY could have avoided the charges. Imposing them nonetheless is the unlawful act that caused BBY's losses.

To the extent BAL also suggests that its use of NVOCCs and intermediaries somehow insulates it from liability, this argument similarly fails. *See* RPF 33-37, 134. BAL set the detention and demurrage rules, caused the charges to be assessed (through its agents and terminals), and benefited from their collection. *See* C100, C40-44, R40-44. The fact that charges were routed through intermediaries does not alter the reality that BAL's policies and practices were the source of the charges. Nor does it undermine the fact that BBY ultimately bore and paid the financial burden.

In sum, BAL's causation argument attempts to obscure the straightforward record: BAL chose to impose excessive detention and demurrage charges in circumstances where those charges could not serve their lawful purpose and BBY incurred millions of dollars in D&D charges as a result. BAL's effort to diffuse responsibility by pointing to broader supply-chain conditions only underscores the central violation: it imposed charges precisely when extrinsic conditions rendered those charges could not reasonably incentivize freight fluidity. Accordingly, Element 5 is satisfied.

CONCLUSION

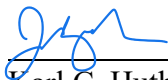
BBY has proved its claims. The Presiding Officer should award the reparations requested in BBY's Opening Brief, as well as interest and attorneys' fees.

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Dated: July 2, 2026

Respectfully submitted,

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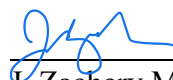
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I hereby certify that I have this day served the foregoing document upon Respondent BAL Container Line Co., Limited by emailing a copy of the document to its counsel of record listed below:

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